

Note 2 Risk management

Principles of risk management

The Group defines risk as possible negative deviation from the expected result. Risk management is a process aimed at efficiency, sustainability and profitability of operations that would meet the expectations of shareholders identified in the strategy. As risks are associated with all business activities on all levels of activity, risk management involves all the Group's employees through the internal control system. The tasks of risk management are the identification and measurement of business-related risks, implementation of measures necessary for controlling risks and reporting on risk management performance.

In essence, the Group measures risks by:

- i) quantifying or assessing the potential magnitude of the risk through a change in the financial volume; or
- ii) qualitatively taking into account the operational control environment based on expert judgment of the magnitude of the risk and the likelihood of its occurrence.

We have implemented risk appetite and tolerance metrics that help us identify trends in risk movement and prepare for actions required for better control or mitigation. Depending on the risk category, either monthly or quarterly reports are prepared. The quarterly risk report is a summary report that reaches top management level.

Structure and responsibility of risk management

The Group's risk management system is centralised at management level - policies and principles of risk management are established at Group level by the Bank's Supervisory Board or Management Board to ensure implementation of common risk management principles in AS Coop Pank and its subsidiaries as well as rapid and effective response to changes in the economic environment or in the Group's business model. Risk management procedures must comply with existing legislative regulations and standards.

The Bank's Management Board is responsible for the implementation of risk management, control and risk management policies and methods and the effectiveness of risk management. In organising risk management, the Management Board may in limited degree delegate risk taking, control and monitoring to collegial decision-making bodies with limited decision-making competence set up by the Management Board.

The Bank's Management Board has set up the following committees and commissions with limited decision-making competence:

The tasks, composition and activities of the **Asset/Liability Management Committee** are defined by its rules. The committee's task is to monitor, control, analyse and evaluate risks, make decisions and implement them in the following areas of responsibility:

- assessment and management of the Bank's and Group's liquidity risk and short- and long-term liquidity position;
- monitoring of the maturity structure of the Bank's assets and liabilities;
- planning of the balance of interest income and expenses and management of interest rate risk;
- introducing limits on term and volume measures related to counterparties;
- debt securities portfolio management.

The Credit Committee is the Bank's highest body for making credit decisions, a workgroup responsible for risk management formed in accordance with the Credit Institutions Act and the Bank's statutes for ensuring that the Bank's credit policy is implemented through the adoption of credit decisions and compliance assessment of collateral.

The Credit Commission performs the functions of the Credit Committee in adopting decisions on lower-risk credit.

The Account Establishment Committee manages and controls the establishment of customer relationships and monitoring and, if necessary, termination of customer relationships through its decisions with clients with a higher risk of money laundering and terrorist financing prevention.

For effective implementation of risk management, the Group uses a 3-level control system in accordance with the principles of an internal control system approved by the Supervisory Board.

Structural units with direct risk control functions:

First line of defence

The first level constitutes sales and support divisions and subsidiaries. The first line of defence is to ensure that risks related to the activities, products, and processes in its area of responsibility are identified, assessed and that measures necessary for controlling risks are implemented.

Second line of defence

The role of the second line of defence is performed by risk managers and analysts in the Risk Management Department and Credit Risk Department.

The main functions of the second line of defence are:

- a group-wide view of regular identification, assessment and monitoring of risks;
- stress testing for liquidity, credit and market risks and drawing up relevant risk reports;
- the notification of the Management and Supervisory Board of risks;
- development of risk management methodology, first line of defence counselling in risk management;
- conducting training in the field of risk management;
- control and monitoring of compliance with internal rules and legislation;
- conducting scheduled and emergency internal controls within the organisation.

Third line of defence

Internal Audit Unit

The Internal Audit Unit audits the compliance of the Group's activities with legislation and instructions, the operation and efficiency of the business processes and internal control system, the compliance of the Bank's structural units with the decisions taken by the Bank's competent body, as well as compliance with the established rules, limits and other internal regulations. The activities of the Internal Audit Unit are aimed at protecting the interests of the Bank's shareholders, depositors and other creditors.

Capital management

The Group uses risk-based capital planning which ensures that all risks are adequately covered by own funds at any given time. Eligible capital is defined as the Group's own funds which consist of Tier 1 and Tier 2 capital. An overview of the regulatory capital is provided in the following table:

Capital base	31.12.2025	31.12.2024
Tier 1 capital		
Paid-in share capital and share premium	98,771	96,892
Statutory reserve capital	8,424	6,815
Retained earnings excl. profit for the reporting period	96,989	73,629
The accepted profit of the reporting period*	16,449	19,545
Other accumulated comprehensive income/expense**	-104	298
Goodwill as intangible asset (-)	-6,757	-6,757
Intangible assets (-)	-9,212	-12,954
Adjustment of value arising from requirements of reliable measurement (-)	-55	-38
Other deductions from Tier 1 Capital (-)	-1,081	-1,820
Common Equity Tier 1 (CET1)	203,424	175,610
Additional Tier 1 capital	28,148	28,148
Total Tier 1 capital	231,572	203,758
Subordinated debt	35,000	35,000
Tier 2 capital	35,000	35,000
Eligible capital for capital adequacy calculation	266,572	238,758

* Includes profit for the nine-month period ending on 30 September, which is included as approved by the Financial Supervisory Authority.

** Includes revaluation reserve of financial assets at fair value through other comprehensive income.

Capital planning is conducted on the basis of financial position and profit and loss forecasts that take into account the Group's strategy, future expectations, risk profile and risk appetite. Capital planning is the responsibility of the Bank's Management Board.

The internal capital adequacy assessment (ICAAP) is an ongoing process which aims to assess the Group's risk profile and the corresponding need for capital. ICAAP is the basis for regular capital planning in the Group.

The planning and forecasting of capital requirements take place on the basis of calculating regulatory capital adequacy that takes into account capital requirements and guidance arising from ICAAP and supervisory assessment of the Financial Supervisory Authority (SREP).

The Group's risk profile is assessed in particular by the following risks: credit risk, concentration risk, liquidity risk, market risk, including pricerisk exposure from the portfolio of financial investments, the Bank's portfolio of interest rate risk, operational risk, strategic risk, reputation risk.

The recommended minimum capital adequacy level is the minimum required capital adequacy level determined in the SREP assessment plus the need-based reserve required for increasing business volumes, implementing strategy plans and ensuring a stable financial position in accordance with the Group's current operating strategy and balance sheet forecasts.

The financial position and profit and loss forecasts are reviewed regularly and approved by the Bank's Management Board. It also takes into account the possible impact of strategic and reputation risk to the Group's business success, and determines the necessary equity buffer to ensure the desired internal capital adequacy level if alternative and risk scenarios materialise. Overview of the development of capital adequacy including the capital requirements arising from the SREP assessment are presented to the Bank's Management Board and the Supervisory Board on a quarterly basis.

As at 31.12.2025 and also as at 31.12.2024, the Group was in compliance with all regulatory capital requirements.

Credit risk management

Credit risk is the risk of suffering financial loss, should any of the Group's customers or counterparties fail to fulfil their contractual obligations to the Group.

The Group follows the standard method of calculating credit risk capital requirements. In calculating capital requirements, the Group uses ratings of accepted rating agencies according to the procedure established by the Financial Supervisory Authority.

Credit risk management is based on the Group's credit policy. The main objectives of credit policy are to sustainably achieve the rate of return on the Group's assets from credit activities required by shareholders, adhering to the prudence and risk diversification principles and taking moderate risks that can be evaluated and managed.

Credit risk arises from the following financial instruments:

- Cash, cash balances at central banks and other deposits, Note 9);
- Debt securities (Note 10);
- Loans and advances to customers (Note 11);
- Derivatives (Note 2);
- Other financial assets (Note 12).

The cash placements to credit institutions and financial investments into debt securities are done within the counterparty transaction limits imposed by the Assets and Liabilities Committee (ALCO). When assessing the counterparty creditworthiness and credit limit, the counterparty's domicile, financial position, management, legal status and market position are taken into consideration. Additionally, for investments into debt securities the liquidity and rating are assessed.

Credit risk measurement

The Group uses internal credit risk gradings that reflect its assessment of the probability of default of the individual counterparties.

The Group evaluates corporate customers' creditworthiness using a rating model that considers both their financial and economic status as well as their payment history, categorising them into 12 different risk classes. Statistical scoring models, first implemented in 2025 for retail customers, are used to assess the probability of default (PD) for individual loan agreements. The transition to the new models from the previously used rating models did not materially affect the size of impairments (the total impairment for retail customers decreased by an estimated 3%). Separate models are used to determine the loss-given-default (LGD) resulting from default.

The Group's credit exposures are classified and grouped once per month. Credit risk classes for credit exposures apply to private and corporate customers. Depending on the borrower's payment discipline, financial-economic condition and other factors increasing credit risk, the risk classes are as follows:

Risk class	PD	Comparable S&P rating	Description
1	<0,2%	A... AAA	The obligor's capacity to meet its financial commitment on the obligation is very strong
2	>0,2% - 0,5%	BBB	The obligor's capacity to meet its financial commitment on the obligation is adequate. Adverse economic conditions or changing circumstances are likely to lead to a weakened capacity of the obligor to meet its financial commitment on the obligation
3	>0,5% - 1,0%	BB+	The obligor's capacity to meet its financial commitment on the obligation is adequate in the short-term perspective. Adverse business, financial, or economic conditions could lead to the obligor's inadequate capacity to meet its financial commitment on the obligation.
4	>1,0% - 1,5%	BB	
5	>1,5% - 2,5%	BB-	
6	>2,5% - 5,0%	B+	The obligor's capacity to meet its financial commitment on the obligation is adequate in the short-term perspective. Adverse business, financial, or economic conditions will likely impair the obligor's capacity to meet its financial commitment on the obligation.
7	>5,0% - 7,5%	B	
8	>7,5% - 10,0%	B-	
9	>10,0% - 20,0%	CCC	The obligor's capacity to meet its financial commitment on the obligation is questionable and is dependent upon favourable business, financial, or economic conditions for the obligor to meet its financial commitment on the obligation. Probable payment delays.
10	>20,0% - 60,0%	CC	The obligor's capacity to meet its financial commitment on the obligation is probably insufficient. Payment delays.
11	>60,0% - 99,99%	C	The obligor's capacity to meet its financial commitment on the obligation is insufficient. Payment delays.
12	100,0%	D	The obligor is in default.

In 2025 uncertainty in the economy continued. There are several factors influencing the macroeconomic situation starting from, the ongoing war in Ukraine, U.S. trade and foreign policy developments, and the economic challenges faced by key trading partners such as Finland and Germany etc. Despite falling inflation levels and EURIBOR rates and a low unemployment, the confidence level of consumers has not improved. Nevertheless, the effects on the credit portfolio are not noticeable, the overdue debt level is continuously very

low, there is very limited demand for payment holidays and the collateral values have not been affected yet. The Group follows closely the changes in overall market conditions and has adapted its general credit risk evaluation, processes and models according to the changed economic environment and outlook. Clients whose activities could pose an environmental risk are checked on a case-by-case basis to ensure that their activities are in line with all valid norms of environmental protection.

Measurement of expected credit loss (ECL)

The impairment requirements are based on a three-stage expected credit loss (ECL) model, which considers changes in credit quality since initial recognition. The Group uses internally developed models which take into account external macroeconomic indicators.

In accordance with IFRS 9 the financial instruments are classified into three stages based on the number of days of past due, the financial position of the legal entity and other changes in the quality of the receivable, either as a performing receivable (stage 1), an under-performing receivable (significant increase in credit risk, stage 2) or a non-performing receivable (default, stage 3). The allowance rate for Stage 1 receivables is based on the 12-month expected credit loss. The allowance rate for Stage 2 and Stage 3 receivables is determined on the basis of lifetime expected credit losses; the latter assumes default of the financial instruments.

Expected credit loss is calculated based on probability of default (PD), loss given default (LGD) and exposure at default (EAD) discounted to present day. For assessment of loan losses, the expected collections from the loan and interest payments over the coming periods are considered, as well as expected collections and anticipated proceeds from the realisation of collateral, sale of the loan or future payments arising from the solvency, discounted at the financial asset's original effective interest rate or the interest rate set out in EBA guidelines, which together form a recoverable amount of the loan.

Explanation of inputs, assumptions and modelling techniques

PD models

For corporate customers, PD is determined using a rating model based on historical portfolio behaviour and internal expert judgment. Inputs include an assessment of the customer's financial-economic condition and payment behaviour. The assessment of the financial-economic condition evaluates various financial ratios and provides a final rating on a 10-point scale. The rating model assigns customers to 12 risk classes, each with associated 12-month and lifetime PDs, used depending on the loan stage.

For retail customers, the initial 12-month probability of default is estimated based on applicant and application characteristics. A logistic regression formula is used for the calculation, incorporating both the main effects and interactions of the key variables. The model was derived using a machine-learning method based on historical data, optimizing the model's AIC (Akaike Information Criterion) value. The 12-month model includes a macroeconomic adjustment. To achieve the highest possible accuracy, different models use different features that are important for the specific loan type. Separate models cover among others consumer loans, mortgages and leases.

The initial PD is adjusted monthly using a behavioural PD model. The probability that a properly serviced loan will default decreases over time, therefore, the probability of default is adjusted downward using a function specific to the loan type. For loans with significantly increased credit-risk (Stage 2) lifetime behavioural PD model is used and Stage 3 loans are assigned PD of 100%.

Coefficients for lifetime PD models are estimated from historical data according to remaining loan maturity.

LGD models

LGD models are based on actual historical loss data from the Group. The debt amounts of defaulted agreements and post-default recoveries from customers and collateral sales have been used. Results are discounted to defaulting time and aggregated by product group. To compensate for data limitations and possible inaccuracies, conservatism margins are added to LGD estimates.

Forward-looking information incorporated in ECL model

Forward-looking information is included in ECL measurement by estimating the expected impact of changes in macroeconomic indicators on the share of defaulted consumer, mortgage and corporate loans within the loan portfolio.

Time-series models are used; macroeconomic variables are included with appropriate lags. A separate model is found for each loan type. Forecasting takes place with the corresponding final model and is forecasted step by step for one month.

Of the macroeconomic indicators, the Group uses a mix of indicators which, according to performed analysis, proved to be statistically relevant for different product groups:

Consumer loans – previous consumer loan debt ratios, unemployment rate 17 months ago, consumer price index 13 months ago, EUR/USD exchange rate 21 months ago;

Mortgage loans – previous mortgage loan debt ratios, GDP 5 months and 6 months ago, consumer price index 7 months ago;

Corporate loans – previous corporate loan debt ratios, GDP 18 months ago, Brent oil price as per the same month.

The regression analysis was made between Estonia's overdue loans and macro indicators. Forecasts of macro indicators are based on the latest available analysis of the Bank of Estonia on macroeconomic trends. The weighted impact on the probability of default is calculated using a weighting of 60% for the baseline scenario, 10% for a positive scenario and 30% for a negative scenario for all product groups, where expert opinions have been used to determine the weights. Compared to 2024, the weights remained unchanged.

Individual and collective assessment, grouping

Loans are individually assessed where the total risk of the client (on-balance plus off-balance amount) exceeds 500 thousand euros and has been assigned to loan stage 3. Loans to watchlist clients exceeding 500 thousand euros are also individually assessed.

Credit receivables are assessed on a collective or individual basis, based on the classification and grouping results. The purpose of grouping receivables is to collect receivables with similar credit risk to assess them on a collective basis, considering the type of loan, loan collateral and credit rating. The prerequisite for grouping is the availability of sufficient and statistically reliable information. The calculation of the characteristics and allowance rates of groups of receivables is based on the analysis of the statistical behaviour of the loan portfolio, changes in the actual loss events and the general economic situation, macroeconomic forecasts and the impact of the respective macro indicators on the solvency of the customers and collateral values.

Frequency of receivable assessments:

- collective assessment is performed on a monthly basis;
- individual assessment is performed quarterly and the results are approved by the Bank's Credit Committee.

Significant increase in credit risk

The Group considers a financial instrument to have a significant increase in credit risk where one or more of the following criteria have been met:

- the customer's contractual payments have been past due over 30 days at least once in the past three months or repeatedly in past year;
- one of the customer's receivables is restructured due to payment difficulties or has been repeatedly restructured due to payment difficulties;
- corporate borrower has significant payment defaults to other creditors;
- in the case of claims secured by real estate of a private customer, the loan amount exceeds the value of the collateral;
- the customer is on the watchlist.

All receivables from the same corporate borrower are valued in the same category as the lowest risk category and loan stage. In determining past due obligations in risk classification the Group uses materiality thresholds set by capital regulation No 575/2013.

Signs that indicate the potential need to include customers to the watchlist are:

- negative macroeconomic events that affect the customer or the industry etc.;
- adverse changes in the financial condition of the customer that can significantly affect their ability to service the debt;
- some of the claims of the customer are restructured;
- customer's weakened payment behaviour and >30 overdues;
- customer is in breach with financial covenants in the extent that indicates the limited possibilities to correctly service the debt;
- adverse changes in collateral values and position;
- legal actions and measures that can result in a significant impact on the customer's financial condition;
- remarks brought out by the external auditors;
- other factors that indicate potentially increased credit risk.

Definition of default and credit-impaired assets

The Group defines financial assets as default, which is fully aligned with the definition of credit-impaired, based on the following qualitative or quantitative criteria:

Quantitative criteria:

- at least one of the loans issued to the customer is more than 90 days past due on its contractual payments (principal or interest) or has been repeatedly more than 90 days past due on its contractual payments and overdue debt exceeds materiality threshold; or
- customer's receivables have been more than three times restructured due to payment difficulties.

Qualitative criteria:

- significant deterioration in the company's financial position to the extent that the customer is unable to service and repay the loan;
- infringement of financial or other covenants to an extent that materially affects the customer's solvency and ability to repay the loans;
- unintentional use of the funding received compared to what was agreed in the loan agreement to an extent that substantially affects the customer's solvency and ability to repay the loans;
- the client has filed (or filed against) a bankruptcy petition or a similar application for legal protection (e.g. reorganisation);

- the client's cash flow/income is insufficient to fully meet their obligations and the client's collateral has been settled in enforcement or bankruptcy proceedings;
- the net present value of receivable has been reduced more than 1% of the receivable amount in the course of restructuring due to payment difficulties and the characteristics of the restructuring due to payment difficulties remain;
- credit exposure has been restructured multiple times and it is probable that the customer is not able to service and repay the loans according to agreed terms;
- a private customer has died, and the receivable has not been re-written to a new borrower (such as an heir);
- the customer has committed fraud.

If the loan that is restructured due to payment difficulties has been properly serviced for at least 12 months and none of the above criteria is present (default criteria or signs of significant increase in credit risk), the loan can be classified as performing receivable.

Sensitivity analysis

When conducting sensitivity analysis, the Group uses changes in macro indicators which, according to performed analyses, proved to be statistically relevant and have more effect on the changes in probability of customers default and thereby allowances. Actual levels of macro indicators published by Bank of Estonia, Statistics Estonia and Land Board and forecasts made by the Ministry of Finance, Bank of Estonia and the Group were used in the analysis. A sensitivity analysis shows impact on the Group's ECL if different macro indicator values are used in ECL calculations.

During analysis in addition to the main forecast, which is called base scenario, a confidence interval was also calculated, which is used as the positive and the negative scenario. The weighted impact on probability of default is calculated using weighting of 60% for a base scenario, 10% for a positive scenario and 30% for a negative scenario for all the loan categories. The weights were not changed in 2025.

The table below shows the impact of changes in the base scenario weights on the Group's loan portfolio as at 31.12.2025.

Change in the weights of the scenario (base-positive-negative)	Impact on ECL in thousands of euros
60%-0%-40%	36
60%-20%-20%	57

As at 31.12.2024, the impact of changes in the base scenario weights were the following:

Change in the weights of the scenario (base-positive-negative)	Impact on ECL in thousands of euros
60%-0%-40%	390
60%-20%-20%	-352

This table shows the Group's ECL change as of 31.12.2025, if the following changes had occurred in macroeconomic indicators relative to the base scenario. The model used in the Group has significantly improved compared to the previous version. In 2025, a time-series model was introduced, where the dependent variable itself is an important input and the structure of input data has also changed. As a result, the estimated impact of macroeconomic indicators differs from that of the previous model.

in thousands of euros	Impact of increase	Impact of decrease
Unemployment rate +/-1%	56	-76
Consumer price index +/- 2%	135	-109
Brent oil price +/- 10%	108	-125
GDP growth change +/-2%	-39	3

This table shows the Group's ECL change as of 31.12.2024, if the following changes had occurred in macroeconomic indicators relative to the base scenario:

in thousands of euros	Impact of increase	Impact of decrease
Average wages and salaries +/-5%	-33	13
Unemployment rate +/-1%	693	-542
Business loan interest margin +/-0.5%	0	-33
Mortgage loan interest margin +/-0.5%	112	-137
6 months EURIBOR +/-0.5%	575	-474
Real estate price index +/-2%	-33	13
Employment rate +/-1%	-33	13
GDP growth change +/-2%	-350	558

Maximum exposure to credit risk

The derivatives maximum exposure to credit risk, without taking collateral into account, corresponds to its carrying amount and is 3,681 thousand euros as at 31 December 2025. The Company has entered into a derivative contract with a counterparty that is subject to a cash collateral exchange agreement (Credit Support Annex). Under this agreement, the Company has received from the counterparty a cash deposit provided as collateral in the amount of 3,540 thousand euros. The collateral is enforceable or eligible for set off in the event of counterparty default. In the Company's assessment, the cash deposit of 3,540 thousand euros received from the counterparty significantly reduces the actual credit risk, as the collateral is fully enforceable or available for set off before any potential losses arise. Accordingly, while the maximum exposure to credit risk remains equal to the carrying amount of 3,681 thousand euros, the existence of the collateral materially reduces the Company's net exposure which is in the amount of 141 thousand euros.

The Group's maximum exposure to credit risk from financial instruments subjected to impairment:

31.12.2025	Stage 1	Stage 2	Stage 3	Total
Cash balances at central banks and other deposits	484,429	0	0	484,429
Debt securities at fair value through other comprehensive income	58,035	0	0	58,035
Debt securities at amortized cost	4,988	0	0	4,988
Loans to private individuals	1,023,188	32,238	6,360	1,061,786
Consumer loans	95,447	5,722	2,010	103,179
Finance lease receivables	93,677	1,536	216	95,429
Mortgage and other private loans	834,064	24,980	4,134	863,178
Loans to legal entities	1,042,230	21,837	7,659	1,071,726
Finance lease receivables	82,276	2,981	454	85,711
Investment loan, overdraft facility and other business loans	959,954	18,856	7,205	986,015
Total loans	2,065,418	54,075	14,019	2,133,512
Loss allowance	-10,854	-3,197	-5,370	-19,421
Total of net loans	2,054,564	50,878	8,649	2,114,091
Other financial assets	741	0	0	741
Total net on-balance sheet exposures	2,602,757	50,878	8,649	2,662,284
Exposures related to off-balance sheet items				
Financial guarantees	29,245	294	0	29,539
Unused credit limits	39,975	256	40	40,271
Unused overdrafts	172,240	326	4	172,570
Total off-balance sheet exposures	241,460	876	44	242,380
Loss allowance	-811	-13	-4	-828
Total net off-balance sheet exposures	240,649	863	40	241,552

31.12.2024	Stage 1	Stage 2	Stage 3	Total
Cash balances at central banks and other deposits	341,912	0	0	341,912
Debt securities at fair value through other comprehensive income	37,351	0	0	37,351
Loans to private individuals	897,353	28,409	6,138	931,900
Consumer loans	101,672	4,313	2,161	108,146
Finance lease receivables	94,222	1,542	139	95,903
Mortgage and other private loans	701,459	22,554	3,838	727,851
Loans to legal entities	828,200	23,885	8,684	860,769
Finance lease receivables	94,987	3,069	767	98,823
Investment loan, overdraft facility and other business loans	733,213	20,816	7,917	761,946
Total loans	1,725,553	52,294	14,822	1,792,669
Loss allowance	-9,570	-3,951	-5,030	-18,551
Total of net loans	1,715,983	48,343	9,792	1,774,118
Other financial assets	1,610	0	0	1,610
Total net on-balance sheet exposures	2,096,856	48,343	9,792	2,154,991
Exposures related to off-balance sheet items				
Financial guarantees	18,379	101	18	18,498
Unused credit limits	39,899	490	24	40,413
Unused overdrafts	91,748	922	7	92,677
Total off-balance sheet exposures	150,026	1,513	49	151,588
Loss allowance	-444	-34	-5	-483
Total net off-balance sheet exposures	149,582	1,479	44	151,105

As of 31.12.2024 Coop stores client card for private customers was classified under consumer loans in the amount of 10,211 thousand euros, starting from 2025 this is classified under mortgage loans and other private loans to ensure a more consistent approach to product management and more accurate allocation of costs and revenues. The comparatives have not been reclassified due to the lack of readily available historical data and the impracticability of obtaining it.

As of 31.12.2024, warehouse financing for leasing business customers was classified under lease financing in the amount of 16,600 thousand euros, starting from 2025 this is classified under other business loans to ensure consistent product management in alignment with a unified business strategy, while also enabling improved oversight of risk positions. The comparatives have not been reclassified due to the lack of readily available historical data and the impracticability of obtaining it.

These changes are described as „Reclassification in operating segment“ in the following tables, where relevant.

Receivables from credit institutions and financial investments in securities, breakdown by credit quality:

31.12.2025	AA- and higher	A- to A+	BBB- to BBB+	BB- to BB+	B- to B+	CCC-D	Total
Risk class	1	1	2	3 to 5	6 to 8	9 to 12	
Base level of the mandatory reserve kept in the Central Bank	18,985	0	0	0	0	0	18,985
Demand deposits at the Central Bank	443,316	0	0	0	0	0	443,316
Receivables from credit institutions and other financial institutions*	990	21,138	0	0	0	0	22,128
Debt securities at fair value through other comprehensive income	0	48,647	5,752	3,636	0	0	58,035
Debt securities at amortized cost	0	0	0	4,988	0	0	4,988

31.12.2024	AA- and higher	A- to A+	BBB- to BBB+	BB- to BB+	B- to B+	CCC-D	Total
Risk class	1	1	2	3 to 5	6 to 8	9 to 12	
Base level of the mandatory reserve kept in the Central Bank	18,316	0	0	0	0	0	18,316
Demand deposits at the Central Bank	299,380	0	0	0	0	0	299,380
Receivables from credit institutions and other financial institutions*	3,193	21,023	0	0	0	0	24,216
Debt securities at fair value through other comprehensive income	0	30,912	3,711	3,128	0	0	37,751

On assessing the credit quality, the Group uses credit ratings from rating agencies Fitch, Moody's and Standard & Poor's according to the recitals of European Parliament and of the Council (EC) No. 575/2013 Article 138. According to Article 114 of the mentioned regulation, receivables from the European Central Bank have the highest credit quality level, and receivables from the national central banks of member states have also the highest credit quality level, if these receivables are nominated in euros.

Coop Pank cash on hand is not exposed to counterparty credit risk, as the balance of this position belongs to the bank itself, while a third-party cash management service provider is used for handling the physical cash. Coop Pank high-quality receivables from the central bank (The Bank of Estonia) are not rated but can be classified as AA- or higher credit quality.

The management has estimated that credit institutions' receivables carry low credit risk and that their expected credit losses are insignificant, given their strong credit rating, financial condition and short-term economic outlook.

Other non-rated receivables from credit institutions and other financial institutions are of good quality and there is no indication of impairment.

Debt securities at fair value through other comprehensive income are predominantly liquid, which is why their expected credit losses are also considered insignificant.

Debt securities at amortised cost that do not have an international credit rating (Fitch, Moody's, or S&P) are assessed based on internal methodology. For these instruments, the Group applies assessment principles and risk class assignments consistent with those used for loan customers (see section "Credit risk measurement"). The credit quality is evaluated taking into account the issuer's payment discipline, financial-economic condition, and other factors increasing credit risk.

Loans to customers divided by stage and credit quality in different loan classes is presented in the following tables:

31.12.2025					31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	210,863	235	0	211,098	4,422	47	0	4,469
II credit quality class	524,188	399	0	524,587	711,587	133	0	711,720
III credit quality class	286,949	3,438	0	290,387	233,518	1,137	0	234,655
IV credit quality class	226,822	5,598	0	232,420	180,707	1,323	0	182,030
V credit quality class	528,913	10,675	0	539,588	296,538	2,623	0	299,161
VI credit quality class	179,707	6,155	0	185,862	222,437	2,339	0	224,776
VII credit quality class	69,450	3,160	0	72,610	69,698	1,112	0	70,810
Specific monitoring								
VIII credit quality class	28,200	2,065	0	30,265	5,226	25,162	0	30,388
IX credit quality class	10,324	14,882	0	25,206	1,420	12,642	0	14,062
X credit quality class	2	3,546	0	3,548	0	5,405	0	5,405
Non-performing loans								
XI credit quality class	0	3,922	0	3,922	0	350	0	350
XII credit quality class	0	0	14,019	14,019	0	21	14,822	14,843
Total	2,065,418	54,075	14,019	2,133,512	1,725,553	52,294	14,822	1,792,669
Loss allowance	-10,854	-3,197	-5,370	-19,421	-9,570	-3,951	-5,030	-18,551
Carrying amount	2,054,564	50,878	8,649	2,114,091	1,715,983	48,343	9,792	1,774,118

31.12.2025					31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	18	0	0	18	19	0	0	19
II credit quality class	0	0	0	0	0	0	0	0
III credit quality class	33,536	0	0	33,536	0	0	0	0
IV credit quality class	12,293	153	0	12,446	9,906	0	0	9,906
V credit quality class	15,245	229	0	15,474	0	0	0	0
VI credit quality class	19,857	384	0	20,241	90,402	0	0	90,402
VII credit quality class	6,539	311	0	6,850	61	0	0	61
Specific monitoring								
VIII credit quality class	3,136	242	0	3,378	0	0	0	0
IX credit quality class	4,823	566	0	5,389	1,284	128	0	1,412
X credit quality class	0	1,436	0	1,436	0	3,835	0	3,835
Non-performing loans								
XI credit quality class	0	2,401	0	2,401	0	350	0	350
XII credit quality class	0	0	2,010	2,010	0	0	2,161	2,161
Total	95,447	5,722	2,010	103,179	101,672	4,313	2,161	108,146
Loss allowance	-1,505	-1,561	-1,698	-4,764	-1,909	-1,148	-1,860	-4,917
Carrying amount	93,942	4,161	312	98,415	99,763	3,165	301	103,229

Finance lease receivables to private customers	31.12.2025				31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	949	0	0	949	4	0	0	4
II credit quality class	58,633	0	0	58,633	32	0	0	32
III credit quality class	26,153	237	0	26,390	93,669	0	0	93,669
IV credit quality class	3,222	325	0	3,547	162	0	0	162
V credit quality class	2,530	396	0	2,926	73	1,281	0	1,354
VI credit quality class	1,780	271	0	2,051	278	0	0	278
VII credit quality class	153	137	0	290	0	256	0	256
Specific monitoring								
VIII credit quality class	153	61	0	214	4	0	0	4
IX credit quality class	104	57	0	161	0	0	0	0
X credit quality class	0	0	0	0	0	5	0	5
Non-performing loans								
XI credit quality class	0	52	0	52	0	0	0	0
XII credit quality class	0	0	216	216	0	0	139	139
Total	93,677	1,536	216	95,429	94,222	1,542	139	95,903
Loss allowance	-114	-18	-44	-176	-127	-9	-28	-164
Carrying amount	93,563	1,518	172	95,253	94,095	1,533	111	95,739

Mortgage and other private loans	31.12.2025				31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	207,045	0	0	207,045	74	0	0	74
II credit quality class	410,802	51	0	410,853	691,639	0	0	691,639
III credit quality class	66,067	1,791	0	67,858	1,249	0	0	1,249
IV credit quality class	50,095	4,293	0	54,388	7,370	0	0	7,370
V credit quality class	61,138	6,819	0	67,957	662	0	0	662
VI credit quality class	23,993	3,986	0	27,979	320	0	0	320
VII credit quality class	6,591	1,034	0	7,625	31	0	0	31
Specific monitoring								
VIII credit quality class	2,960	857	0	3,817	114	22,427	0	22,541
IX credit quality class	5,373	2,913	0	8,286	0	44	0	44
X credit quality class	0	1,767	0	1,767	0	83	0	83
Non-performing loans								
XI credit quality class	0	1,469	0	1,469	0	0	0	0
XII credit quality class	0	0	4,134	4,134	0	0	3,838	3,838
Total	834,064	24,980	4,134	863,178	701,459	22,554	3,838	727,851
Loss allowance	-965	-376	-904	-2,245	-338	-765	-711	-1,814
Carrying amount	833,099	24,604	3,230	860,933	701,121	21,789	3,127	726,037

Finance lease receivables to legal entities	31.12.2025				31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	2,271	235	0	2,506	3,407	47	0	3,454
II credit quality class	4,732	150	0	4,882	6,530	118	0	6,648
III credit quality class	12,559	443	0	13,002	14,202	397	0	14,599
IV credit quality class	16,897	175	0	17,072	35,433	125	0	35,558
V credit quality class	24,456	83	0	24,539	16,568	113	0	16,681
VI credit quality class	19,046	706	0	19,752	15,515	225	0	15,740
VII credit quality class	1,426	35	0	1,461	2,617	462	0	3,079
Specific monitoring								
VIII credit quality class	863	59	0	922	687	1,431	0	2,118
IX credit quality class	24	1,095	0	1,119	28	120	0	148
X credit quality class	2	0	0	2	0	10	0	10
Non-performing loans								
XI credit quality class	0	0	0	0	0	0	0	0
XII credit quality class	0	0	454	454	0	21	767	788
Total	82,276	2,981	454	85,711	94,987	3,069	767	98,823
Loss allowance	-389	-78	-115	-582	-415	-54	-246	-715
Carrying amount	81,887	2,903	339	85,129	94,572	3,015	521	98,108

Investment loan, overdraft facility and other business loans	31.12.2025				31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	580	0	0	580	918	0	0	918
II credit quality class	50,021	198	0	50,219	13,386	15	0	13,401
III credit quality class	148,634	967	0	149,601	124,398	740	0	125,138
IV credit quality class	144,315	652	0	144,967	127,836	1,198	0	129,034
V credit quality class	425,544	3,148	0	428,692	279,235	1,229	0	280,464
VI credit quality class	115,031	808	0	115,839	115,922	2,114	0	118,036
VII credit quality class	54,741	1,643	0	56,384	66,989	394	0	67,383
Specific monitoring								
VIII credit quality class	21,088	846	0	21,934	4,421	1,304	0	5,725
IX credit quality class	0	10,251	0	10,251	108	12,350	0	12,458
X credit quality class	0	343	0	343	0	1,472	0	1,472
Non-performing loans								
XI credit quality class	0	0	0	0	0	0	0	0
XII credit quality class	0	0	7,205	7,205	0	0	7,917	7,917
Total	959,954	18,856	7,205	986,015	733,213	20,816	7,917	761,946
Loss allowance	-7,881	-1,164	-2,609	-11,654	-6,781	-1,975	-2,185	-10,941
Carrying amount	952,073	17,692	4,596	974,361	726,432	18,841	5,732	751,005

Off-balance exposures of credit lines and overdraft facilities	31.12.2025				31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	300	0	0	300	107	0	0	107
II credit quality class	12,382	0	0	12,382	9,992	0	0	9,992
III credit quality class	23,104	5	0	23,109	16,468	55	0	16,523
IV credit quality class	44,904	0	0	44,904	47,038	100	0	47,138
V credit quality class	82,722	22	0	82,744	42,303	4	0	42,307
VI credit quality class	36,988	6	0	36,994	7,787	0	0	7,787
VII credit quality class	10,473	23	0	10,496	7,827	0	0	7,827
Specific monitoring								
VIII credit quality class	1,130	196	0	1,326	125	452	0	577
IX credit quality class	212	314	0	526	0	800	0	800
X credit quality class	0	16	0	16	0	1	0	1
Non-performing loans								
XI credit quality class	0	0	0	0	0	0	0	0
XII credit quality class	0	0	44	44	0	0	31	31
Total	212,215	582	44	212,841	131,647	1,412	31	133,090
Loss allowance	-763	-10	-4	-777	-421	-33	-4	-458
Carrying amount	211,452	572	40	212,064	131,226	1,379	27	132,632

Off-balance exposures of financial guarantees	31.12.2025				31.12.2024			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Normal monitoring								
I credit quality class	11	0	0	11	36	0	0	36
II credit quality class	551	0	0	551	602	0	0	602
III credit quality class	10,395	14	0	10,409	937	0	0	937
IV credit quality class	5,508	0	0	5,508	2,947	0	0	2,947
V credit quality class	3,318	21	0	3,339	11,561	0	0	11,561
VI credit quality class	3,189	59	0	3,248	170	0	0	170
VII credit quality class	6,273	0	0	6,273	1,858	59	0	1,917
Specific monitoring								
VIII credit quality class	0	0	0	0	268	24	0	292
IX credit quality class	0	200	0	200	0	18	0	18
X credit quality class	0	0	0	0	0	0	0	0
Non-performing loans								
XI credit quality class	0	0	0	0	0	0	0	0
XII credit quality class	0	0	0	0	0	0	18	18
Total	29,245	294	0	29,539	18,379	101	18	18,498
Loss allowance	-48	-3	0	-51	-23	-1	-1	-25
Carrying amount	29,197	291	0	29,488	18,356	100	17	18,473

Allocation of past due loans (gross carrying amount)

31.12.2025						
	Loans to private individuals			Loans to legal entities		
	Consumer loans	Finance lease	Mortgage loans and other loans	Finance lease	Investment loan, overdraft facility and other business loans	Total
1-30 days	3,833	2,471	13,507	2,014	3,418	25,243
31-60 days	886	618	3,535	212	682	5,933
61-90 days	512	162	1,698	0	5	2,377
Over 90 days	1,898	7	1,485	0	2,041	5,431
Total	7,129	3,258	20,225	2,226	6,146	38,984

31.12.2024						
	Loans to private individuals			Loans to legal entities		
	Consumer loans	Finance lease	Mortgage loans and other loans	Finance lease	Investment loan, overdraft facility and other business loans	Total
1-30 days	4,713	2,105	11,709	2,420	2,834	23,781
31-60 days	1,292	381	2,697	95	1,632	6,097
61-90 days	593	172	701	120	105	1,691
Over 90 days	2,141	27	1,735	226	2,544	6,673
Total	8,739	2,685	16,842	2,861	7,115	38,242

Collaterals of financial assets

The Group evaluates the value of collateral both during the loan application process and subsequently. The Group has internal rules for the maximum acceptance value of different types of collateral at the time of applying for a loan. Estimates of the market value of collateral are based on the prudence principle and take into account the type, location, liquidity and probability of realisation of collateral. Expert assessments are used to assess immovables. Individual valuations of commercial real estate are updated at least once a year. In the case of residential and other homogenous types of real estate, statistical indexing models are also used for regular revaluation.

The main types of loan collaterals are:

- real estate (mortgage on property);
- rights of claims;
- commercial pledge;
- machinery and equipment;
- guarantee of Estonian Business and Innovation Agency (EIS) or Rural Development Foundation;
- a surety or guarantee from a private person or legal entity;
- bank deposit;
- pledge of shares;
- traded securities.

Collaterals with a low correlation between the customer's payment risk and the market value of the collateral are preferred. Assets pledged as collateral must be insured, the life of the collateral must be longer than the loan repayment term and the market value of the collateral must exceed the loan balance.

Unsecured loans are issued to private individuals to a limited extent. Legal persons are only granted unsecured loans if the client's credit risk is very low, the solvency is high, and the cash flow forecast is stable.

During the reporting period, the Group's internal rules regarding collateral have not changed significantly and there has also been no significant change in the overall quality of collateral. Compared to the year 2024, in 2025, collateral values were allocated pro-rata to the respective loan amounts they secure. An overview of the over and under-collateralised loans to customers are given in the tables below.

31.12.2025	Over-collateralised loans		Under-collateralised loans	
	Gross carrying amount	Fair value of the collateral	Gross carrying amount	Fair value of the collateral
Loans to private individuals				
Consumer loans	0	0	103,179	0
Finance lease receivables	68,034	134,057	27,395	23,656
Mortgage and other private loans	835,893	1,238,952	27,285	8,174
Total	903,927	1,373,009	157,859	31,830
Loans to legal entities				
Finance lease receivables	77,505	209,412	8,206	7,452
Investment loan, overdraft facility and other business loans	960,673	2,324,542	25,342	16,752
Total	1,038,178	2,533,954	33,548	24,204

31.12.2024	Over-collateralised loans		Under-collateralised loans	
	Gross carrying amount	Fair value of the collateral	Gross carrying amount	Fair value of the collateral
Loans to private individuals				
Consumer loans	0	0	108,146	0
Finance lease receivables	93,563	148,636	2,340	752
Mortgage and other private loans	716,409	1,678,131	11,442	3,988
Total	809,972	1,826,767	121,928	4,740
Loans to legal entities				
Finance lease receivables	96,877	200,645	1,946	1,330
Investment loan, overdraft facility and other business loans	744,475	4,670,017	17,471	10,473
Total	841,352	4,870,662	19,417	11,803

The loan risk level is also expressed by the market value of the collateral relative to the loan amount, i.e. the LTV (loan to value) ratio. The financial impact of the collateral is important for loans and receivables that are unlikely to be serviced by the customer's primary cash flows, which is evidenced in stage 3 customers.

The breakdown of the non-performing (stage 3) over and under-collateralised loans are given in the tables below.

31.12.2025	Over-collateralised loans		Under-collateralised loans	
	Gross carrying amount	Fair value of the collateral	Gross carrying amount	Fair value of the collateral
Loans to private individuals				
Consumer loans	0	0	2,010	0
Finance lease receivables	82	183	133	100
Mortgage and other private loans	3,374	6,232	760	295
Total	3,456	6,415	2,903	395
Loans to legal entities				
Finance lease receivables	454	1,782	0	0
Investment loan, overdraft facility and other business loans	5,143	14,056	2,062	1,428
Total	5,597	15,838	2,062	1,428

31.12.2024	Over-collateralised loans		Under-collateralised loans	
	Gross carrying amount	Fair value of the collateral	Gross carrying amount	Fair value of the collateral
Loans to private individuals				
Consumer loans	0	0	2,161	0
Finance lease receivables	137	318	2	0
Mortgage and other private loans	3,542	11,589	296	9
Total	3,679	11,907	2,459	9
Loans to legal entities				
Finance lease receivables	766	2,650	1	0
Investment loan, overdraft facility and other business loans	7,156	30,379	761	678
Total	7,922	33,029	762	678

Loans and advances to customers by types of collateral

Private individuals	31.12.2025	31.12.2024
Loans secured by mortgage	841,449	718,770
Leased assets	95,274	95,688
Unsecured loans	120,730	114,878
Personal sureties, guarantees	3,986	2,258
Other	347	306
Total	1,061,786	931,900
Loss allowance	-7,185	-6,895
Total of net loans	1,054,601	925,005
Legal entities	31.12.2025	31.12.2024
Loans secured by mortgage	859,219	673,195
Leased assets	104,832	98,823
Unsecured loans	434	591
Personal sureties, guarantees	4,671	5,088
Other	102,569	83,072
Total	1,071,725	860,769
Loss allowance	-12,236	-11,656

Total of net loans	1,059,489	849,113
Impairment losses on financial assets		

Loan allowances during the reporting period are impacted by various factors:

- Movements between stages 1, 2 and 3 due to significant increase (or decrease) in the credit risk of a financial instrument or due to default, followed by moving from a 12-month to a lifetime expected credit loss model (or vice versa);
- Impairment allowance on new financial instruments recognised in the reporting period, as well as decrease in impairment due to derecognition;
- Regular review of risk parameters and resulting changes in ECL due to changes in probability of default (PD), exposure at default (EAD) and loss given default (LGD);
- Effects of model and assumption changes on the ECL model;
- The effect of discounting on the ECL model as the ECL is measured at present value;
- Loans and related write-downs written off during the reporting period.

The following table analyses the movement of allowances and gross carrying values between stages during the reporting period. Net impact from movements between stages is included in the line "Recalculations of allowances".

2025	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2025	-9,570	-3,951	-5,030	-18,551	1,725,553	52,294	14,822	1,792,669
Transfer to stage 1	-960	769	191	0	15,512	-15,004	-508	0
Transfer to stage 2	671	-829	158	0	-28,887	29,445	-558	0
Transfer to stage 3	79	708	-787	0	-16,793	-4,926	21,719	0
Recalculations of allowances	1,751	-292	-2,116	-657	0	0	0	0
Derecognised and repaid	821	498	1,283	2,602	-219,373	-11,454	-21,619	-252,446
Originated or purchased*	-3,735	-688	-609	-5,032	589,644	5,299	1,803	596,746
Total net P&L charge during the period	-1,373	166	-1,880	-3,087	340,103	3,360	837	344,300
<i>Other movements with no P&L impact</i>								
Write-offs	21	21	231	273	-15	-42	-264	-321
Assignments	68	567	1309	1944	-223	-1537	-1376	-3,136
Balance as at 31.12.2025	-10,854	-3,197	-5,370	-19,421	2,065,418	54,075	14,019	2,133,512

* Stage 3 in this table includes solely repurchased credit impaired loans (POCI). Once classified as POCI a loan remains in POCI category until derecognition

2024	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2024	-6,820	-5,516	-4,058	-16,394	1,427,290	67,632	12,345	1,507,267
Transfer to stage 1	-2,843	2,629	214	0	23,724	-22,847	-877	0
Transfer to stage 2	126	-560	434	0	-18,103	19,756	-1,653	0
Transfer to stage 3	76	274	-350	0	-6,224	-3,544	9,768	0
Recalculations of allowances	1,787	-2,639	-3,435	-4,287	0	0	0	0
Derecognised and repaid	522	648	865	2,035	-224,947	-11,463	-3,132	-239,542
Originated or purchased*	-2,558	-109	-12	-2,679	524,222	4,871	43	529,136
Total net P&L charge during the period	-2,890	243	-2,284	-4,931	298,672	-13,227	4,149	289,594
<i>Other movements with no P&L impact</i>								
Write-offs	64	86	53	203	-64	-86	-57	-207
Assignments	76	1236	1259	2571	-345	-2025	-1615	-3,985
Balance as at 31.12.2024	-9,570	-3,951	-5,030	-18,551	1,725,553	52,294	14,822	1,792,669

The following tables analyses the movement of allowances and gross carrying values during the reporting period by product.

Consumer loans 2025	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2025	-1,909	-1,148	-1,860	-4,917	101,672	4,313	2,161	108,146
Reclassification in operating segment	69	15	78	162	-9,987	-142	-82	-10,211
Transfer to stage 1	-424	347	77	0	1,390	-1,305	-85	0
Transfer to stage 2	118	-185	67	0	-3,621	3,700	-79	0
Transfer to stage 3	34	252	-286	0	-1,000	-886	1,886	0
Recalculations of allowances	1,271	-950	-1,150	-829	0	0	0	0
Derecognised and repaid	297	231	124	652	-31,990	-1,515	-648	-34,153
Originated or purchased	-967	-660	-56	-1,683	39,074	3,032	232	42,338
Total net P&L charge during the period	329	-965	-1,224	-1,860	3,853	3,026	1,306	8,185
<i>Other movements with no P&L impact</i>								
Write-offs	0	0	0	0	0	0	0	0
Assignments	6	537	1,308	1,851	-91	-1,475	-1,375	-2,941
Balance as at 31.12.2025	-1,505	-1,561	-1,698	-4,764	95,447	5,722	2,010	103,179

Consumer loans 2024	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2024	-1,960	-1,080	-1,604	-4,644	93,695	4,449	1,919	100,063
Transfer to stage 1	-256	244	12	0	1,060	-1,038	-22	0
Transfer to stage 2	68	-79	11	0	-1,955	1,976	-21	0
Transfer to stage 3	23	132	-155	0	-909	-1,032	1,941	0
Recalculations of allowances	948	-2,046	-1,591	-2,689	0	0	0	0
Derecognised and repaid	165	445	208	818	-33,518	-279	-41	-33,838
Originated or purchased	-973	0	0	-973	43,644	2,262	0	45,906
Total net P&L charge during the period	-25	-1,304	-1,515	-2,844	8,322	1,889	1,857	12,068
<i>Other movements with no P&L impact</i>								
Write-offs	0	0	0	0	0	0	0	0
Assignments	76	1,236	1,259	2,571	-345	-2,025	-1,615	-3,985
Balance as at 31.12.2024	-1,909	-1,148	-1,860	-4,917	101,672	4,313	2,161	108,146

Finance lease receivables to private individuals 2025	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2025	-127	-9	-28	-164	94,222	1,542	139	95,903
Transfer to stage 1	-11	3	8	0	473	-433	-40	0
Transfer to stage 2	1	-9	8	0	-1,221	1,259	-38	0
Transfer to stage 3	0	2	-2	0	-183	-235	418	0
Recalculations of allowances	47	-5	-47	-5	0	0	0	0
Derecognised and repaid	14	1	15	30	-25,218	-671	-238	-26,127
Originated or purchased	-38	-1	-1	-40	25,604	74	5	25,683
Total net P&L charge during the period	13	-9	-19	-15	-545	-6	107	-444
<i>Other movements with no P&L impact</i>								
Write-offs	0	0	3	3	0	0	-30	-30
Assignments	0	0	0	0	0	0	0	0
Balance as at 31.12.2025	-114	-18	-44	-176	93,677	1,536	216	95,429

Finance lease receivables to private individuals 2024	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2024	-100	-6	-14	-120	71,725	1,125	70	72,920
Transfer to stage 1	-5	1	4	0	153	-131	-22	0
Transfer to stage 2	2	-6	4	0	-1,175	1,193	-18	0
Transfer to stage 3	0	0	0	0	-66	-102	168	0
Recalculations of allowances	20	0	-51	-31	0	0	0	0
Derecognised and repaid	17	2	12	31	-23,250	-560	-42	-23,852
Originated or purchased	-67	0	0	-67	46,841	17	0	46,858
Total net P&L charge during the period	-33	-3	-31	-67	22,503	417	86	23,006
<i>Other movements with no P&L impact</i>								
Write-offs	6	0	17	23	-6	0	-17	-23
Assignments	0	0	0	0	0	0	0	0
Balance as at 31.12.2024	-127	-9	-28	-164	94,222	1,542	139	95,903

Mortgage and other private loans 2025	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2025	-338	-765	-711	-1814	701,459	22,554	3,838	727,851
Reclassification in operating segment	-69	-15	-78	-162	9,987	142	82	10,211
Transfer to stage 1	-375	353	22	0	10,111	-9,951	-160	0
Transfer to stage 2	12	-45	33	0	-13,886	14,173	-287	0
Transfer to stage 3	3	25	-28	0	-1,065	-729	1,794	0
Recalculations of allowances	-74	-40	-490	-604	0	0	0	0
Derecognised and repaid	27	84	159	270	-64,763	-2,833	-1,093	-68,689
Originated or purchased	-234	-24	-3	-261	192,368	1,710	89	194,167
Total net P&L charge during the period	-641	353	-307	-595	122,765	2,370	343	125,478
<i>Other movements with no P&L impact</i>								
Write-offs	21	21	191	233	-15	-24	-128	-167
Assignments	62	30	1	93	-132	-62	-1	-195
Balance as at 31.12.2025	-965	-376	-904	-2245	834,064	24,980	4,134	863,178

Mortgage and other private loans 2024	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2024	-274	-511	-522	-1307	584,492	16,025	2,583	603,100
Transfer to stage 1	-197	42	155	0	1,642	-1,188	-454	0
Transfer to stage 2	5	-26	21	0	-9,662	9,795	-133	0
Transfer to stage 3	2	38	-40	0	-1,271	-716	1,987	0
Recalculations of allowances	112	-454	-451	-793	0	0	0	0
Derecognised and repaid	20	73	110	203	-57,377	-1,496	-124	-58,997
Originated or purchased	-64	-1	-1	-66	183,693	208	0	183,901
Total net P&L charge during the period	-122	-328	-206	-656	117,025	6,603	1,276	124,904
<i>Other movements with no P&L impact</i>								
Write-offs	58	74	17	149	-58	-74	-21	-153
Assignments	0	0	0	0	0	0	0	0
Balance as at 31.12.2024	-338	-765	-711	-1814	701,459	22,554	3,838	727,851

Finance lease receivables to legal entities 2025	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2025	-415	-54	-246	-715	94,987	3,069	767	98,823
Reclassification in operating segment	96	2	154	252	-15,957	-225	-419	-16,601
Transfer to stage 1	-7	6	1	0	246	-242	-4	0
Transfer to stage 2	12	-22	10	0	-2,288	2,336	-48	0
Transfer to stage 3	34	8	-42	0	-13,515	-352	13,867	0
Recalculations of allowances	52	-29	-63	-40	0	0	0	0
Derecognised and repaid	46	11	35	92	-16,948	-1,750	-13,690	-32,388
Originated or purchased	-207	0	-1	-208	35,751	163	87	36,001
Total net P&L charge during the period	-70	-26	-60	-156	3,246	155	212	3,613
<i>Other movements with no P&L impact</i>								
Write-offs	0	0	37	37	0	-18	-106	-124
Assignments	0	0	0	0	0	0	0	0
Balance as at 31.12.2025	-389	-78	-115	-582	82,276	2,981	454	85,711

Finance lease receivables to legal entities 2024	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12 month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2024	-421	-103	-108	-632	95,457	2,278	660	98,395
Transfer to stage 1	-11	10	1	0	295	-284	-11	0
Transfer to stage 2	11	-18	7	0	-2,462	2,531	-69	0
Transfer to stage 3	2	67	-69	0	-298	-596	894	0
Recalculations of allowances	194	28	-387	-165	0	0	0	0
Derecognised and repaid	62	8	293	363	-38,655	-967	-690	-40,312
Originated or purchased	-252	-58	0	-310	40,650	119	0	40,769
Total net P&L charge during the period	6	37	-155	-112	-470	803	124	457
<i>Other movements with no P&L impact</i>								
Write-offs	0	12	17	29	0	-12	-17	-29
Assignments	0	0	0	0	0	0	0	0
Balance as at 31.12.2024	-415	-54	-246	-715	94,987	3,069	767	98,823

Investment loan, overdraft facility and other business loans 2025	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2025	-6,781	-1,975	-2,185	-10,941	733,213	20,816	7,917	761,946
Reclassification in operating segment	-96	-2	-154	-252	15,957	225	419	16,601
Transfer to stage 1	-143	60	83	0	3,292	-3,073	-219	0
Transfer to stage 2	528	-568	40	0	-7,871	7,977	-106	0
Transfer to stage 3	8	421	-429	0	-1,030	-2,724	3,754	0
Recalculations of allowances	455	732	-366	821	0	0	0	0
Derecognised and repaid	437	171	950	1,558	-80,454	-4,685	-5,950	-91,089
Originated or purchased	-2,289	-3	-548	-2,840	296,847	320	1,390	298,557
Total net P&L charge during the period	-1004	813	-270	-461	210,784	-2,185	-1,131	207,468
<i>Other movements with no P&L impact</i>								
Write-offs	0	0	0	0	0	0	0	0
Assignments	0	0	0	0	0	0	0	0
Balance as at 31.12.2025	-7,881	-1,164	-2,609	-11,654	959,954	18,856	7,205	986,015

Investment loan, overdraft facility and other business loans 2024	ECL				Gross carrying amount			
	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total
Balance as at 01.01.2024	-4,065	-3,816	-1,810	-9,691	581,921	43,755	7,113	632,789
Transfer to stage 1	-2,374	2,332	42	0	20,574	-20,206	-368	0
Transfer to stage 2	40	-431	391	0	-2,849	4,261	-1,412	0
Transfer to stage 3	49	37	-86	0	-3,680	-1,098	4,778	0
Recalculations of allowances	513	-167	-955	-609	0	0	0	0
Derecognised and repaid	258	120	242	620	-72,147	-8,161	-2,235	-82,543
Originated or purchased	-1,202	-50	-11	-1,263	209,394	2,265	43	211,702
Total net P&L charge during the period	-2716	1,841	-377	-1,252	151,292	-22,939	806	129,159
<i>Other movements with no P&L impact</i>								
Write-offs	0	0	2	2	0	0	-2	-2
Assignments	0	0	0	0	0	0	0	0
Balance as at 31.12.2024	-6,781	-1,975	-2,185	-10,941	733,213	20,816	7,917	761,946

The following tables analyse the movements of allowances and gross carrying values of off-balance sheet loan commitments and financial guarantees during the reporting period.

2025	ECL				Gross carrying amount
Off-balance exposures of credit lines and overdraft facilities	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	
Balance as at 01.01.2025	-421	-33	-4	-458	133,090
Transfer to stage 1	-31	31	0	0	0
Transfer to stage 2	2	-2	0	0	0
Transfer to stage 3	0	0	0	0	0
Recalculations of allowances	80	-8	0	72	0
Derecognised and repaid	114	2	0	116	-56,755
Originated or purchased	-507	0	0	-507	136,506
Total net P&L charge during the period	-342	23	0	-319	79,751
Balance as at 31.12.2025	-763	-10	-4	-777	212,841

2024	ECL				Gross carrying amount
Off-balance exposures of credit lines and overdraft facilities	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	
Balance as at 01.01.2024	-352	-83	-2	-437	128,491
Transfer to stage 1	-64	64	0	0	0
Transfer to stage 2	10	-10	0	0	0
Transfer to stage 3	0	0	0	0	0
Recalculations of allowances	45	-21	-3	21	0
Derecognised and repaid	233	18	1	252	-72,061
Originated or purchased	-293	-1	0	-294	76,660
Total net P&L charge during the period	-69	50	-2	-21	4,599
Balance as at 31.12.2024	-421	-33	-4	-458	133,090

2025	ECL				Gross carrying amount
Off-balance exposures of financial guarantees	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	
Balance as at 01.01.2025	-23	-1	-1	-25	18,498
Transfer to stage 1	0	0	0	0	
Transfer to stage 2	1	-1	0	0	0
Transfer to stage 3	0	0	0	0	0
Recalculations of allowances	3	-1	-1	1	0
Derecognised and repaid	8	0	2	10	-5,255
Originated or purchased	-37	0	0	-37	16,296
Total net P&L charge during the period	-25	-2	1	-26	11,041
Balance as at 31.12.2025	-48	-3	0	-51	29,539

2024	ECL				Gross carrying amount
Off-balance exposures of financial guarantees	Stage 1 (12month ECL)	Stage 2 (lifetime ECL)	Stage 3 (lifetime ECL)	Total	
Balance as at 01.01.2024	-19	-5	0	-24	16,292
Transfer to stage 1	-3	3	0	0	0
Transfer to stage 2	0	0	0	0	0
Transfer to stage 3	0	0	0	0	0
Recalculations of allowances	3	-1	-1	1	0
Derecognised and repaid	13	3	0	16	-9,191
Originated or purchased	-17	-1	0	-18	11,397
Total net P&L charge during the period	-4	4	-1	-1	2,206
Balance as at 31.12.2024	-23	-1	-1	-25	18,498

Write-offs of financial assets

The write-off of the receivables, i.e. the removal of the financial asset from the statement of financial position, occurs in part or in full when the Group has implemented all possible recovery measures and it has been concluded that there is no reasonable expectation of further recoveries. The write-off indicator may be the termination of the recovery procedure or, in the case of a secured loan, the realisation of the collateral, but the proceeds from the disposal have not been sufficient to cover the carrying amount of the receivable. Termination of the recovery procedure may be conditional on the death of the client, bankruptcy, criminal proceedings or a court-approved debt restructuring plan, under which the receivable is reduced.

Modification of financial assets

The Group may renegotiate loans and modify contractual terms. In order to modify financial assets, loan agreements are restructured either due to commercial negotiations or payment difficulties, during which the payment term is extended, payment holidays or other restructuring measures are granted. Restructuring practices are based on management estimates that payments by the customer are expected to continue. The Group monitors the subsequent operation of the modified assets. The Group may decide that, after the restructuring, the credit risk has significantly improved so that the assets are moved from Stage 3 to Stage 2 or Stage 1. For the claim to be reclassified, a minimum of 12 months of verified and consistently compliant payment behavior must be established.

Concentration of risks

The Group adheres to the principle of diversification of credit risk according to economic sector, geographical area, product and counterparties. A summary of exposures by economic sector and geographical areas has been provided in the tables below.

In economic sector K, cash balances and other deposits are in the amount of 488,717 (31.12.2024: 343,678) in thousands of euros and debt securities are in the amount of 3,934 (31.12.2024: 3,489) in thousands of euros. In other sectors, debt securities are in the amount of 59,089 (31.12.2024: 34,262) in thousands of euros and other financial assets are in the amount of 741 (31.12.2024: 1,610) in thousands of euros.

The lending activity of the Group is focused on providing financing to the local market. 50% of loans and advances to customers are granted to private individuals (31.12.2024: 52%). The portfolio of loans granted to legal entities is diversified between various economic sectors to avoid high levels of concentration.

The distribution of loans and advances to customers according to credit product is provided in Note 11.

Loans and advances to customers by economic sector	Stage 1	Stage 2	Stage 3	Loss allowance	31.12.2025	%
Private individuals	1,023,188	32,238	6,360	-7,185	1,054,601	49.88%
L – activities related to real estate	460,483	8,971	1,597	-4,888	466,163	22.05%
C – manufacturing	96,624	3,336	1,050	-1,301	99,709	4.72%
G – wholesale and retail	97,248	2,365	1,439	-1,915	99,137	4.69%
K – finance and insurance activities	92,758	0	0	-610	92,148	4.36%
F – construction	68,307	412	1,201	-704	69,216	3.27%
D – power and heat generation	50,687	0	0	-481	50,206	2.37%
H – transportation and storage	37,992	133	122	-325	37,922	1.79%
M – professional, scientific and technical activities	28,017	3,307	0	-518	30,806	1.46%
N – administrative and support services	26,581	395	13	-169	26,820	1.27%
A – agriculture, forestry and fishing	23,576	1,446	1,296	-569	25,749	1.22%
I – hospitality and food service	16,798	562	844	-421	17,783	0.84%
S – other services	2,732	116	0	-15	2,833	0.13%
Other	40,426	795	97	-320	40,998	1.94%
Total	2,065,417	54,076	14,019	-19,421	2,114,091	100.00%

Loans and advances to customers by economic sector	Stage 1	Stage 2	Stage 3	Loss allowance	31.12.2024	%
Private individuals	897,353	28,409	6,138	-6,895	925,005	52.14%
L – activities related to real estate	370,672	12,658	291	-5,211	378,410	21.33%
G – wholesale and retail	103,540	4,067	1,670	-1,712	107,565	6.06%
C – manufacturing	73,789	1,325	1,347	-988	75,473	4.25%
K – finance and insurance activities	66,147	0	0	-374	65,773	3.71%
D – power and heat generation	44,884	0	2,126	-984	46,026	2.59%
F – construction	33,558	1,353	75	-331	34,655	1.95%
H – transportation and storage	32,617	257	253	-331	32,796	1.85%
M – professional, scientific and technical activities	31,302	69	0	-613	30,758	1.73%
A – agriculture, forestry and fishing	18,370	3,075	2,179	-504	23,120	1.30%
N – administrative and support services	12,682	198	20	-92	12,808	0.72%
I – hospitality and food service	6,521	519	341	-181	7,200	0.41%
S – other services	3,268	236	0	-15	3,489	0.20%
Other	30,851	127	382	-320	31,040	1.75%
Total	1,725,554	52,293	14,822	-18,551	1,774,118	100.00%

Financial assets by geographical classification

31.12.2025	EE	FR	LT	CH	LV	Other	Total
Cash, cash balances at central banks and other deposits	467,360	20,052	0	0	2	1,303	488,717
Debt securities at fair value through other comprehensive income	14,681	0	23,670	0	16,680	3,004	58,035
Debt securities at amortized cost	4,988	0	0	0	0	0	4,988
Loans and advances to customers	2,099,170	0	0	12,645	0	2,276	2,114,091
Equity instruments at fair value through other comprehensive income	0	0	0	0	0	13	13
Derivatives	0	0	0	0	0	3,681	3,681
Other financial assets	741	0	0	0	0	0	741
Total	2,586,940	20,052	23,670	12,645	16,682	10,277	2,670,266

31.12.2024	EE	FR	LT	CH	LV	Other	Total
Cash, cash balances at central banks and other deposits	320,511	19,638	0	0	1	3,528	343,678
Debt securities at fair value through other comprehensive income	4,944	0	18,572	0	11,264	2,971	37,751
Loans and advances to customers	1,760,087	0	0	12,177	35	1,819	1,774,118
Equity instruments at fair value through other comprehensive income	0	0	0	0	0	13	13
Other financial assets	1,610	0	0	0	0		1,610
Total	2,087,152	19,638	18,572	12,177	11,300	8,331	2,157,170